

acquisition policy. Monroe was neither military, nor electronics—it made outdated mechanical tabulating machines—but Thornton was attracted to it because the controlling family was willing to sell cheaply, and for stock in Litton. In 1957 Monroe had sales of \$44 million, earnings of \$1.8 million, earnings per share of \$6.00, and a book value per share of \$42.71.¹² Litton, by contrast, had revenues of \$28 million, the same earnings of \$1.8 million, earnings per share of \$1.51, and a book value per share of \$6.71.¹³ Monroe had more cash and better financial ratios, but Litton was growing faster, and was the more glamorous of the two companies. Monroe was prepared to accept one-and-a-half shares in Litton for every Monroe share, which meant that Litton shareholders would own three-quarters of the combination, and Monroe shareholders one quarter. Litton shareholders received almost three times the earnings per share and more than four times the book value per share in Monroe for each share given up in Litton. By contrast, Monroe shareholders received a little over one-third the earnings, and less than one-quarter the book value per share in Litton for each share given up in Monroe. Such was the price of joining the conglomerate. Thus, the high-growth, high-technology stock swallowed the much bigger, but declining business. Even though it had strayed a long way from its original military electronics business, the market continued to treat the combination as if it was a much larger version of that original business. This was Thornton's real skill: He could acquire a low-quality business in an industry only tenuously and tangentially connected to electronics or the military, and then persuade the market that the *synergies* from the combination warranted a higher valuation still.

By 1966, Litton had sales of \$1 billion, and sold more than 5,000 products, including such high-technology exotica as oil drilling rigs, submarines, credit cards, trading stamps, and, of course, mechanical tabulating machines.¹⁴ The torrid pace of acquisitions since Thornton had taken over in 1954 had burned out a number of the top executives. Those that left were called *LIDOs*—Litton Industries Drop Outs—and Litton became known as a “school for conglomerateurs.”¹⁵ One notable LIDO was Henry Singleton, who, along with another Litton alumnus, left to form Teledyne. Buffett has described Singleton as a “managerial superstar,”¹⁶ with “the best operating and capital deployment record in American business.”¹⁷ The LIDOs and others aped Litton, but none had Thornton's zeal for publicity and deft touch in investor relations. Even after it extended well beyond the high-technology businesses upon which much of its allure rested and started buying more run-of-the-mill companies, Thornton managed to maintain Litton's air of glamour and growth. That year Litton traded on an average price-to-earnings ratio of 33, while other conglomerates traded on much lower multiples.¹⁸ Textron, for example, traded on an average price-to-earnings ratio of 11, Ling-Temco-Vought traded on 13 times earnings, and ITT